Tanker Shipping

Bi-Weekly Industry Report

April 22, 2025

- **Spot VLCC Rate Jump as Uncertainty Increases –** In the lead-up to Easter holidays, VLCC spot freight rates on the Middle East Gulf - China route experienced a notable firming trend, with rates rising sharply on April 17 to one-month highs. This tightening in the freight market was driven by a combination of pre-holiday cargo demand and speculative activity linked to renewed U.S. sanctions on Iranian crude exports. These proposed and implemented sanctions have strained global supply chains, prompting Asian refiners to diversify sourcing strategies. The resulting longer-haul voyages have increased ton-mile demand, indirectly supporting VLCC earnings. Meanwhile, VLCC spot rates on the West Africa–China route also saw modest improvements. On the macroeconomic front, stronger-than-expected industrial output in China and India led to upward revisions in energy demand forecasts, although the main oil market reports continue to paint a lackluster picture when it comes to future oil demand. Looking ahead, continued volatility in oil markets—fueled by geopolitical instability and shipping disruptions—could drive freight rates while the upcoming additional oil supply from OPEC+ should provide some foundational support for the crude oil freight market. The OPEC+ policy meeting in May will be pivotal, as potential production adjustments may shape VLCC market dynamics in Q2 2025.

- **Oil Prices Bounce off Multi-year Lows as Geopolitical Premium Resurfaces –** Following one of the most dramatic selloffs in recent memory, oil prices have staged a modest recovery and are currently trading solidly above the $60/bbl level. Although demand fundamentals remain weak and additional upcoming supply seems incomparable with market balance, the shifting geopolitics surrounding Iran's exports as well as the ongoing trade war between the US and various nations have once again added a geopolitical premium to the price of oil, in our view. IEA, EIA and OPEC reduced their 2025 demand forecasts, which was widely expected given the current economic turmoil and uncertainty that tariffs have introduced to the global economy. Despite a sharply weaker US dollar - the uncertainty surrounding the global economy remains the main driver of prices and thus the most important determinant of freight rates for crude oil tankers. The oil futures curve remains in backwardation, although at much lower levels versus recent history. As we look into the near future, we expect further weakening into the oil's trading range and the mid $50/bbl should signify the lower end of such range. Any conflict in the Middle East as a result of the current US-Iran negotiations should naturally lead to higher oil prices but also push spot tanker rates higher as a flight to safety takes place and traders seek the security of tankers.

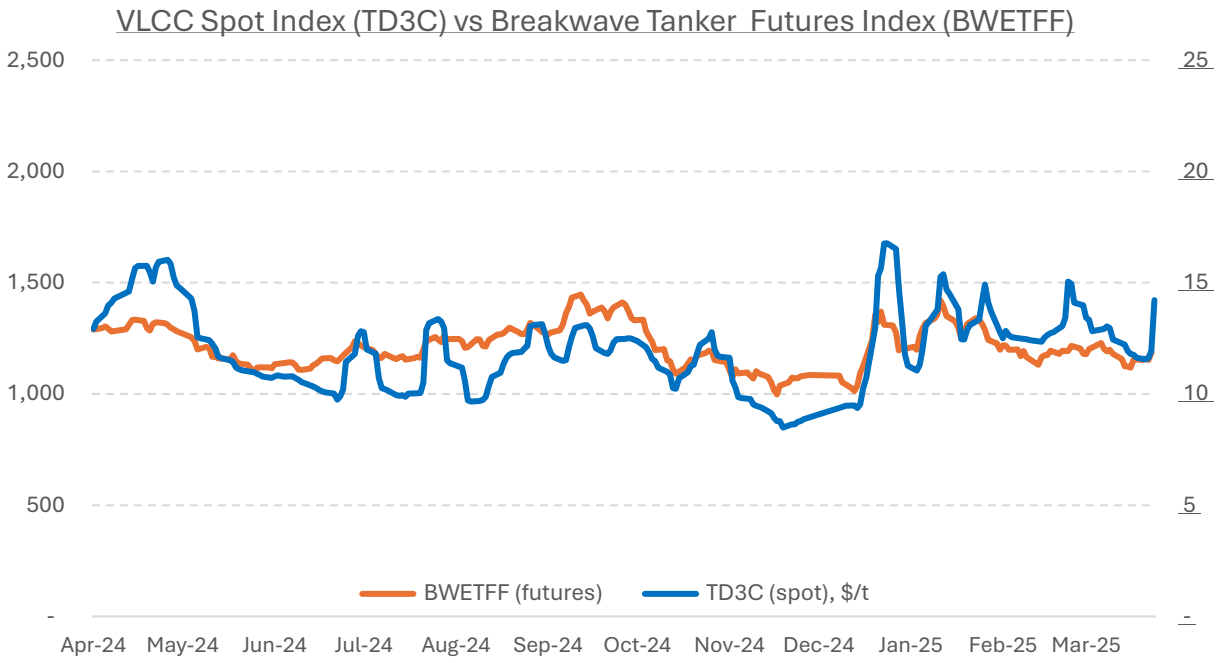
- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should sustain freight rates in the medium to long term.

Short-term Indicators	
Momentum:	Neutral
Sentiment:	Neutral
Fundamentals:	Positive

Breakwave Tanker Futures Index:	**1208**
30D: 0.3%	↑
YTD: 11.7%	↑
YOY: -4.1%	↓
VLCC Middle East-Asia Spot Rates:	**14.11**
30D: 0.8%	↑
YTD: 57.2%	↑
YOY: 10.0%	↑

Reuters:	BWET.K
Bloomberg:	BWET US
Exchange:	NYSE

Breakwave Advisors Research
research@breakwaveadvisors.com



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	104,445 kbpd	1.9%
Oil Supply, OPEC	27,430 kbpd	2.1%
Oil Supply, non-OPEC	68,625 kbpd	1.7%
OECD Total Crude Oil Stocks	1029.8 MMbls	-0.8%
US Crude Oil Exports	53.3 MMbls	0.5%
China Oil Imports	688.8 MMbls	-1.8%
Global Crude Oil Floating Storage	78.2 MMbls	24.3%

Supply		
Tanker Fleet	694.7 mdwt	0.5%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.62	-14.0%
Suezmax West Africa-Europe, USD/ton	16.67	-18.5%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

Disclaimer: *This research report has been prepared by Breakwave Advisors LLC solely for general information purposes and for the recipient's internal use only.* ***This report does not constitute and will not form part of and should not be construed as a solicitation of any offer or advice to buy or sell any security, commodity or instrument or related derivative or to participate in any trading or investment strategy****. The opinions and estimates included herein reflect views and available information as of the dates specified and may have been and may be subject to change without notice. An investment in BDRY and/or BWET ("the Funds") involves significant risks. You could lose all or part of your investment in the Funds, and each of the Fund's performance could trail that of other investments. The value of the Shares of the Funds relates directly to the value of, and realized profit or loss from, the Freight Futures and other assets held by the Funds, and fluctuations in price could materially affect the Funds' shares. Investments in freight futures typically fluctuate in value with changes in spot charter rates. Charter rates for dry bulk and tanker vessels are volatile and have declined significantly since their historic highs and may remain at low levels or decrease further in the future. The Funds will not take defensive positions to protect against declining freight rates, which could cause a decline to the value of the Funds' shares.* ***The Funds are not a mutual funds or any other type of investment company within the meaning of the Investment Company Act of 1940, as amended, and are not subject to regulation thereunder.***
Please visit http://www.breakwaveadvisors.com/disclosures